Singapore Market Focus

Singapore Market Strategy

Refer to important disclosures at the end of this report

DBS Group Research . Equity

31 Aug 2026

What's next for STI and Next 50?

- 8 picks to ride on higher STI YE target of 5,850
- 4 actionable takeaways from 1H/2Q results
- 7 constituents to watch as SG Next 50 ETF goes live

Raise STI YE target to 5,850. We introduce a 12-mth target of 6,110 – 5% discount to the latest bottom-up target of 6,430 that has been lifted by 1) higher TPs for index heavyweight banks and broad earnings delivery through the 1H/2Q results season. While backdrop remains conducive for Singapore equities (e.g., stronger GDP growth, attractive dividend yields, safe-haven status and MAS support), further upside is likely to be earnings-driven rather than from further multiple expansion – with the STI already trading at 16.7X (+2SD) 12-mth fwd PE. Our top 8 STI component picks are OCBC, SingTel, UOL, CityDev, Yangzijiang, Seatrium, ST Eng, SATS.

SG Next 50 ETF: Next catalyst for SMCs? Investors' interest and reception towards Singapore SMCs face its first test, with all eyes on the listing of the first active and SMC-focused ETF benchmarked to the iEdge SG Next 50 Index. A successful reception and interest could catalyst broader SMC participation through 1) incremental flows and liquidity, 2) alignment to ongoing support measures and 3) robust stock selection framework. We like IFAST, Keppel REIT, Parkway Life REIT, and First Resources within its illustrative portfolio. Within the wider Next 50 Index, we highlight UMS, YZJ Maritime and UOBKH as our preferred picks that may be under-represented in this ETF.

Broadening by the 2Q/1H results. The broadening trade still has legs, underpinned by 1) a solid 1H/2Q results season, and 2) positive share price reception towards stocks with earnings delivery. Four actionable takeaways from this results season 1) 5 growth-at-reasonable-price opportunities in UOL, SATS, DFI Retail, Venture and Singtel, 2) long office (Suntec REIT, with value unlock potential), short hospitality REITs, 3) prefer large caps (MLT, CLAR) over industrial SMC REITs, 4) stay selective in industrials/tech (Yangzijiang, ST Eng, UMS).

STI: 5,755.36

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STOCKS

	Price LCY	Mkt Cap USD mn	12-mth Target LCY	Performance (%) 3 mth	12 mth	Rating
OCBC	31.52	111,082	36.60	34.7	88.3	BUY
SingTel	4.54	58,173	5.46	4.6	5.3	BUY
UOL Group	9.07	6,033	13.00	-10.6	21.7	BUY
ST Engineering	10.79	26,418	12.40	-5.2	40.5	BUY
Seatrium Limited	2.15	5,710	3.00	1.4	-8.1	BUY
Mapletree Logistics Trust	1.17	4,702	1.55	-2.5	-4.1	BUY
UMS Integration Limited	2.66	1,854	3.62	-5.0	140.9	BUY
Suntec REIT	1.46	3,390	1.70	-0.7	10.6	BUY

Source: DBS, S&P Cap IQ Pro
Closing price as of 31 Aug 2026

DBS Insights Direct Watchlist the stock on Insights Direct to receive prompt updates

Straits Times Index Outlook

Banks uplift STI bottom-up target

STI's bottom-up target based on the aggregated 12-mth target prices of its component stocks rose to **6,430** with the conclusion of the 2Q results season. The bulk of the uplift came from index heavyweight **banks** – (1) **OCBC**'s target price was lifted by 22% to SGD36.6 (2) **UOB**'s target price was lifted by 19% to SGD42.5 (3) **DBS**'s consensus 12-mth target price rose 7.8% to SGD76.74. The top 3 upside contributors to STI's bottom-up target are **OCBC** (26.4%), **SingTel** (11%) and **Jardine Matheson** (9.8%).

STI component stocks' upside contribution to STI bottom-up tgt and % upside to TP

NAME	Price (LCY) 24 Aug	12-mth Tgt Price (LCY)	Rcmd	FF Adjusted Mkt cap (SGD mn)	FF Adjusted Target mkt cap (SGD mn)	FF Adjusted Tgt-Current mkt cap (SGD mn)	Upside contribution to STI bottom-up tgt (%)	% upside to TP
OCBC	30.92	36.60	BUY	99,694	118,008	18,314	26.4%	18%
SingTel	4.42	5.46	BUY	32,592	40,260	7,669	11.0%	24%
J. Matheson	61.00	90.00	BUY	14,337	21,152	6,816	9.8%	48%
CLAR	2.45	3.20	BUY	10,086	13,174	3,088	4.4%	31%
Keppel Ltd	11.35	13.30	BUY	15,994	18,742	2,748	4.0%	17%
ST Eng	10.64	12.40	BUY	15,904	18,535	2,631	3.8%	17%
CICT	2.41	2.80	BUY	15,237	17,702	2,466	3.5%	16%
DBS*	75.56	76.73*	NR	152,926	155,288	2,362	3.4%	2%
Yangzijiang	4.74	5.60	BUY	11,958	14,127	2,170	3.1%	18%
UOB	40.73	42.50	HOLD	49,070	51,202	2,132	3.1%	4%
Seatrium	2.09	3.00	BUY	4,493	6,449	1,956	2.8%	44%
HK Land	8.42	9.89	BUY	10,311	12,111	1,800	2.6%	17%
CLI	2.66	3.40	BUY	6,097	7,793	1,696	2.4%	28%
City Dev	8.30	12.00	BUY	3,630	5,248	1,618	2.3%	45%
UOL	9.51	13.00	BUY	4,338	5,930	1,592	2.3%	37%
Venture Corp	16.72	21.80	BUY	4,429	5,775	1,346	1.9%	30%
MLT	1.18	1.55	BUY	3,979	5,226	1,248	1.8%	31%
SIA	6.95	7.70	HOLD	10,770	11,932	1,162	1.7%	11%
SCI	5.99	7.30	BUY	5,266	6,418	1,152	1.7%	22%
KDC REIT	2.26	2.80	BUY	4,366	5,409	1,043	1.5%	24%
SGX	25.16	26.40	BUY	20,450	21,457	1,008	1.5%	5%
SATS	4.12	5.00	BUY	3,587	4,354	766	1.1%	21%
FCT	2.20	2.75	BUY	2,764	3,455	691	1.0%	25%
MPACT	1.29	1.55	BUY	2,949	3,543	594	0.9%	20%
DFI Retail	3.59	5.00	BUY	1,382	1,925	543	0.8%	39%
Thai Bev	0.46	0.53	BUY	3,313	3,817	504	0.7%	15%
FLCT	0.95	1.05	BUY	2,700	2,984	284	0.4%	11%
MINT	1.93	2.05	HOLD	3,989	4,237	248	0.4%	6%
Genting SG	0.65	0.67	HOLD	3,693	3,807	114	0.2%	3%
Wilmar	3.76	3.60	HOLD	6,551	6,273	-279	-0.4%	-4%

Source: DBS
**S&P Capl IQ Pro consensus*

Our top 8 STI component stock picks are OCBC, SingTel, UOL, City Dev, Yangzijiang, Seatrium, ST Eng, SATS.

Top 8 STI component stock picks

Company	Why we like
OCBC	• New strategy to deepen core market franchise in SG and HK, plus refreshed strategies within ASEAN domestic markets • Strong non-interest income momentum • Unutilised share buyback translates into 18 Scts/share, potentially to be paid as special dividends in FY26F
SingTel	• Improving operating company EBIT (+11% y/y), driven by stronger contributions from Optus and NCS • Strong Optus earnings momentum could support further group growth • Value unlocking through potential Optus stake sale and data-centre REIT IPO, alongside further capital recycling
UOL	• Robust 1H26 results with PATMI +23% y/y to SGD 252mn • Strong residential take-up rate, with key projects 82–99% sold, alongside upcoming launches • Potential re-rating catalysts include the Marina Square redevelopment and a potential REIT strategy for further value unlocking
City Dev	• Strong 1H26 performance driven by higher property development earnings and a strong recovery in hotel segment • Largest residential landbank of ~2,200 units provide a visible launch pipeline through 2027, alongside potential divestments • Potential re-rating catalyst from strategic management review, including asset-backed measures and clearer capital recycling
Yangzijiang Shipbuilding	• Stronger than expected earnings beat for 1H26 with net profit of RMB5.2bn (+23% y/y) • Strong order visibility, with a USD22.4bn orderbook providing ~4 years of revenue coverage • Resilient shipbuilding margins (35%) expected to remain supported by high newbuild prices and favourable order mix
Seatrium	• ~SGD32bn tender pipeline provides significant order-win potential • Margin expansion to continue through 2H26, reaching ~15% by FY28 • Potential buyback programme provides further support to share price

ST Eng	• Stronger-than-expected 1H26 net profit of SGD512mn (+27% y/y) • Commercial aerospace and digital revenue tracking ahead • Further margin expansion, stronger international defence conversion and a record SGD35.7bn backlog support additional earnings upside
SATS	• Resilient air cargo demand despite Middle East tensions • Accelerating earnings recovery as flight schedules normalise supporting ground handling and aviation catering volumes • Attractive valuations after recent post results sell-off, which has reset expectations

Source: DBS

Top 8 STI constituents

Company	Price 26 Aug 2026	Target price	Target return	Mkt cap (SGD'm)	Rcmd	EPS growth 26 (%)	EPS growth 27 (%)	PE ratio 26 (x)	Div yield 26 (%)	Net debt/equity 26	P/BV 26 (x)
OCBC	31.44	36.60	16%	141,163	BUY	9.2	7.1	17.5	3.4	-	2.2
Singtel	4.51	5.46	21%	73,624	BUY	13.3	-	21.2	4.3	0.2	2.6
UOL	9.37	13.00	39%	7,940	BUY	-2.8	-1.1	18.0	1.9	0.2	0.7
CityDev	8.44	12.00	42%	7,540	BUY	-57.8	13.3	26.7	2.1	1.1	0.8
YZJ Ship	4.84	5.60	16%	19,048	BUY	30.6	7.6	9.2	5.4	cash	2.6
Seatrium	2.18	3.00	38%	7,377	BUY	38.9	34.1	17.3	2.1	-	1.0
ST Eng	10.58	12.40	17%	33,002	BUY	26.5	15.7	30.8	1.9	1.2	11.3
SATS	4.07	5.00	23%	6,050	BUY	19.0	-	15.5	2.5	1.0	1.9

Source: DBS, Bloomberg. Based on 26 August closing prices

STI YE target 5850, 12-mth target 6,110

STI currently trades at 16.7X (+2 SD, 10-yr history) 12-mth fwd PE and dividend yields of 4%/4.2% for FY26F/FY27F. High single-digit EPS growth rates for both FY26F and FY27F implies PEG slightly above 2 for both FY26F/FY27F.

The STI re-rated strongly from 14.4 X (+0.5SD) to 16.7X (+2SD) 12-mth forward PE since the start of the year. This is driven by factors such as stronger-than-expected GDP growth (+4.3% y/y for 2026, +3% y/y for 2027), attractive dividend yield, safe haven status and the unfolding MAS support measures for the equity market. As a result, the Singapore equity market enjoyed sustained funds inflow despite macro uncertainties from the volatile oil price, US tariffs and an uncertain interest rate environment.

These factors should continue to underpin Singapore equities and valuation can remain above historical average level. However, we think it may be harder for STI to further rerate beyond +2SD in the near-term.

We lift STI's YE target to 5,850 that's peg to 16.7X (+2SD) FY27F PE and introduce a 12-mth target of 6,110 (5% discount to the 12-mth bottom-up target prices of its component stocks). Consensus 12-mth target for the STI is currently 6,140.

STI valuation table

	PE (X)	EPS (%)	PEG	P/B (X)	Yield (%)
FY26F	17.5	8.0	2.2	1.84	4
FY27F	16.3	7.7	2.1	1.77	4.2

Source: DBS

STI at various forward PE levels



Source: DBS Research

Status quo for September's STI review

We expect no change to the STI component stocks in the upcoming September review. While the odds for immediate removal for **FLCT** are low, the risk remains given its 37th rank off its SGD3.6bn market cap – implying a narrow 10% (or c. SGD330mn) gap versus the 41st ranked stock (the removal threshold under rule 5.2.4). **First Resources'** strong share price rally (SGD6.8bn market cap, ranked 23rd) puts it on track to top the reserve list but short of the 20th position required for immediate insertion (rule 5.2.3).

DBS calculations – Ranking of eligible securities

Ranking	Stock	Mkt Cap (SGD'bn)	Remarks
20	City Dev	7.42	STI
21	Seatrium	7.07	STI
22	MPACT	6.82	STI
23	**First Resources**	**6.78**	**Reserve**
24	DFI Retail	6.17	STI
...			
35	Golden Agri	3.93	
36	NetLink Trust	3.80	
37	**FLCT**	**3.62**	**STI**
38	Bumitama Agri	3.54	
39	SIA Engineering	3.50	
40	CapitaLand Ascott	3.36	

Source: DBS, Bloomberg

SG Next 50 – Next in line to drive the SMC uplift

Nearly one year since the inception of the iEdge Next 50 Index, CGS Fullgoal Singapore Next 50 ETF (SGX:Q50) will be listed on 3 September. This marks the first active ETF to be benchmarked to this index, as well as the first SMC-focused ETF (80% allocation to Next 50 constituents) on market. Healthy investor interest and fundraising of this product could well catalyse further interest in the SMC market and more SMC-focused ETFs down the road.

Illustrative model portfolio – holdings as of 17 July 26

Top 15 Holdings (~77% of Portfolio)

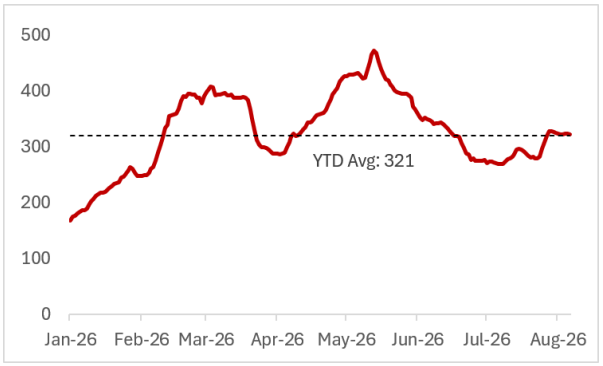
Stock	Ticker	Weight	Universe
Keppel Infrastructure Trust	A7RU	9.15%	Next 50
iFAST Corporation	AIY	8.64%	Next 50
Keppel REIT	K71U	8.11%	Next 50
Parkway Life REIT	C2PU	7.19%	Next 50
Sheng Siong Group	OV8	6.09%	Next 50
Keppel Ltd	BN4	5.65%	STI Overlay
CapitaLand Ascott Trust	HMN	5.07%	Next 50
Starhill Global REIT	P40U	4.27%	Next 50
DBS Group	D05	4.01%	STI Overlay
CapitaLand India Trust	CY6U	4.00%	Next 50
CDL Hospitality Trusts	J85	3.34%	Next 50
StarHub	CC3	3.14%	Next 50
Venture Corp	V03	3.01%	STI Overlay
First Resources	EB5	2.83%	Next 50
Haw Par Corporation	H02	2.62%	Next 50

Source: CGS International (link). Note: Holdings are illustrative based on the model portfolio as of 17 July 2026. Actual holdings at launch may differ following final portfolio construction.

We identify 3 potential reasons how the introduction of this active ETF could broaden SMC participation –

- New ETF to institutionalise flows and liquidity. While the index's SDAV recovered from July lows, it remains below the elevated levels seen in Feb-Mar and May; the heightened interest faded once catalysts passed. A dedicated product changes this: monthly rebalancing of up to ~20% one-way turnover and trading participation of <10% of daily volume per stock provides recurring, structural source of trading flow – anchoring liquidity and sustaining the recovery to prior peaks.

SG Next 50 Index – 1-month rolling SDAV (SGD'mn)



Source: DBS, Bloomberg

- Structural support from policy initiatives. EQDP has lent a significant tailwind to Singapore equities over the past year, and further deployment should keep SMCs in focus – managers have committed an average 30% of portfolio to this segment. Targeted measures (e.g. enhanced GEMS scheme, value-unlock initiatives) should also draw incremental attention to SMC stocks.

- Quality stock selection on robust framework. The ETF's 6-factor framework (valuation, growth, earnings surprise/quality, analyst sentiment, market factors) mirrors how most investors screen for quality stocks – which should drive interest to some of these overlooked names and eventually broaden the SMC participation. Managers' high-conviction picks are expressed with overweights of up to 10% per stock, versus the index's 5% cap.

  Based on the illustrative holdings, here are 4 SMC stocks that we like –

  - IFAST – Double-digit ROE and EPS growth underpinned by robust net inflows, AUA growth and growing Global Bank segment

  - First Resources – Strong 2H26 earnings outlook with firm CPO prices and improving ANJT's performance post-acquisition

  - Keppel REIT – Office remains as one of the preferred REIT segments, with positive rental reversion, strong balance sheet, visible organic growth

- PREIT – High growth potential (~20% DPU uplift following the renewal of SG hospitals' master lease) has yet to be fully priced in, with potential surprise from revenue-sharing arrangements

Looking beyond what the Next 50 ETF covers. The Next 50 ETF is a good starting point, but complementary single-stock exposure is necessary to capture the full SMC opportunity set. First, its +/-5% industry deviation limit anchors the ETF to the index's sector mix – making it structurally REIT-heavy (or >1/3 exposure) and underweight the remaining sectors. Second, a quantitative approach, while robust, can miss opportunities driven by qualitative catalysts (e.g., value unlock) and stocks too thinly covered by analysts for consensus-based signals to score reliably.

Overview of SG Next 50 Index

Sector	# of stocks	Weight	Top 3 stocks (by weight)
Real Estate	20	40.6%	KREIT, Suntec REIT, CLAS
Consumer	5	12.2%	Sheng Siong, Olam, Golden-Agri
Industrials	6	9.8%	ComfortDelGro, SIA Eng, CSE Global
Technology	4	9.0%	AEM, UMS, Frencken
Materials	4	7.6%	KIT, First Resources, Pan-United
Finance	5	7.3%	IFAST, UOBKH, YZJ Maritime
Healthcare	4	7.3%	Haw Par, Top Glove, Raffles Med
Telecom	2	6.2%	NetLink, StarHub

Source: DBS, SGX. Based on factsheet as of 31 July 2026

We like the following SMC picks that should offer exposure complementary to the Q50's ETF –

- UMS Integration – Robust 2Q26 results with strong growth outlook on capacity and margin expansion from ongoing AI-/semi-upcycle
- YZJ Maritime – Strong orderbook/earnings visibility through 2028, with ROE re-rating potential on balance sheet deployment
- UOBKH – Strong 1H26 performance with growing wealth-management franchise, alongside MAS market support measures

Stocks to watch in the Singapore Next 50 Index

Company	Price 26 Aug 2026	12-mth Target price	12-mth Target return	Mkt cap (SGDmn)	Rcmd	EPS growth 26 (%)	EPS growth 27 (%)	PE ratio 26 (x)	Div yield 26 (%)	Net debt/equity 26	P/BV 26 (x)
Top 15 Next 50 stocks within illustrative portfolio											
IFAST	8.93	12.15	36%	2,719	BUY	27.4	19.3	21.3	1.2	cash	5.5
KREIT	0.88	1.10	24%	4,396	BUY	17.0	11.7	25.2	5.5	0.4	0.7
PREIT	4.14	4.75	15%	2,702	BUY	14.7	1.5	21.2	4.3	0.4	1.4
First Resources	4.33	5.00	15%	6,703	BUY	24.7	7.8	12.1	3.6	0.4	2.8
Next 50 constituents outside of the top 15 list											
UMS Integration	2.71	3.62	34%	2,407	BUY	68.4	20.9	34.4	1.8	cash	5.3
YZJ Maritime	0.59	0.88	49%	2,058	BUY	10.0	22.0	13.4	2.9	cash	1.0
UOBKH	4.04	4.80	19%	3,976	BUY	24.5	13.0	14.8	3.4	cash	1.8

Source: DBS, Bloomberg. Based on 26 August closing prices

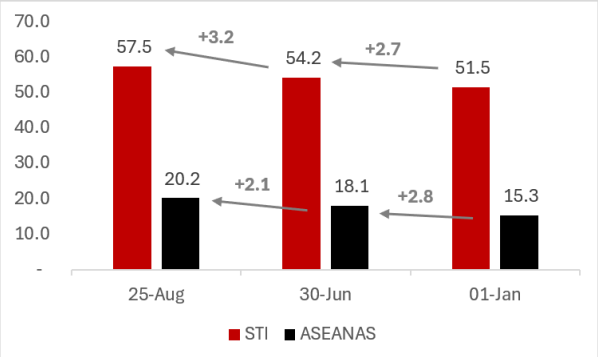
The next leg to the rally

Singapore remains as an overweight in the region

We met several institutional investors during the inaugural DBS-CIMB Jewels of Singapore Corporate Access Day, held in Kuala Lumpur from 11 to 13 August. Client profiles were diverse across 1) local and global asset management firms, 2) government-linked investment companies, and 3) managers of insurer firms. Discussions were focused on our 2H26 Regional Outlook (Navigating AI, oil and Fed policy), with a deep dive on Singapore (Opportunity to rotate, not retreat). Feedback was largely positive and centered on 3 key themes:

1. **Clients remain positive on Singapore**, especially for those with ASEAN mandates. The stability and liquidity tailwinds keep Singapore as an overweight – in contrast to the current headwinds seen across the ASEAN region. They are receptive to new ideas, recognizing that banks have re-rated and done well, but have little room to go overweight further – for risk management and/or allocation limit – and especially given the banks' sharp rise in STI / ASEAN indices exposure since July.

Weights of 3 banks in STI & ASEAN All Share Indices (%)



Source: DBS, Bloomberg

2. **Mixed responses to the different rotation plays.** Amongst the 4 broadening themes beyond banks presented, clients were more receptive towards the themes of earnings resilience and small-/mid-caps, over stable interest rate (e.g., REITs) and value unlocking plays even as many clients also do not expect a Fed hike this year. REITs' flattish DPU growth profiles, the uncertain timing and extent of value unlock were the key pushbacks.

4 broadening themes beyond banks

Theme	Picks
Industrials for earnings resilience	YZJ Ship, SATS, ST Eng
SREITs as a catchup play on stable rates	CLAR, MLT
Strategic value unlocking	UOL, CityDev, Singtel, JM
5 SMC themes on EQDP tailwinds	UMS (tech), UOBKH, First Resources (strong outlook)

Source: DBS

3. **What comes after the SGD6.5bn EQDP?** Our view that EQDP remains in its early innings is supported by 1) the SGD2.85bn 2nd tranche not yet fully deployed, and 2) a further SGD2.55bn awaiting allocation. Even so, clients are already looking beyond the current amount of SGD6.5bn, with questions around a potential top-up similar to the SGD1.5bn seen in Budget 2026. Clients are receptive towards franchise and well-owned names, but are also keen on more new ideas.

2Q/1H results season underpins our broadening thesis

The recently concluded 2Q/1H results season that shows broad earnings delivery should validate and affirm the index's re-rating seen to date. Number of beats outpaced misses by 2-to-1 ratio across our coverage, with the ratio improving further to 3-to-1 amongst the STI constituents.

STI component stocks – results versus expectations

Beats	Misses	Inline
OCBC	Wilmar	UOB
Singtel	SIA	ThaiBev
Genting SG	Sembcorp Ind	Seatrium
DFI Retail	MPACT	Keppel
SGX		Venture
SATS		CLI
ST Engineering		CLAR
Yangzijiang		MLT
CityDev		MINT
UOL		CICT
HK Land		Jardine Mat.
KDCREIT		
DBS*		

*Source: DBS, Bloomberg *non-rated, versus consensus*

Stocks' post-results outperformance affirms our view that the broadening trade still has legs, as investors look beyond index heavyweight banks that have done well and expected to do so ahead. We see incremental opportunities in stocks positioned to benefit as investors are willing to pay for earnings delivery and/or positive surprises – Yangzijiang, ST Eng, Venture, CityDev are cases in point.

Stocks with good 1H/2Q results outperformed MTD

Stock	Sector	27-Aug	MTD chg
YZJ Ship	Industrials	4.86	24.0%
SCI	Industrials	6.09	10.3%
CityDev	Real Estate	8.4	7.0%
Venture	Info Tech	17.08	6.8%
OCBC	Banks	30.9	6.1%
ST Eng	Industrials	10.69	6.1%
SGX	Financials	25.29	3.4%
Seatrium	Industrials	2.2	2.3%
DBS	Banks	75.65	2.2%
Singtel	Telco	4.51	1.6%
ThaiBev	Consumer	0.465	1.1%
STI Index	**Index**	**5684.12**	**1.0%**

Source: DBS, Bloomberg. Based on 27 Aug closing prices

Here are 4 actionable ideas that we glean from this results season –

1. **Position in 5 growth-at-reasonable-prices (GARP) opportunities**, on improving and resilient outlook, with still healthy room for upside to our analysts' TP – **UOL**, **SATS**, **DFI Retail**, **Venture**, **Singtel**.

2. **Within REITs, long office, short hospitality.** This results season affirms a clean pair trade, with Singapore office REITs (pick: **Suntec REIT** for value unlock potential) all beat with DPU upgrades. The opposite (i.e., estimates misses) is seen in the hospitality segment on RevPAR weakness that should linger ahead.

3. **Stick to large cap (MLT, CLAR) over industrial SMC REITs.** Industrial SMC REITs underperformed in this results season on stock-specific headwinds (e.g., ESR REIT, AIMS APAC, Daiwa House Logistics). In contrast, the large caps delivered stability – with diversified/resilient portfolio and balance sheet strength – that their smaller peers could not.

4. **Stay selective on industrials and tech for earnings.** Both industrial and tech sectors saw this season's sharpest positive earnings uplift (YZJ Ship, AEM, UMS) but also the harshest cuts (e.g., SIA, Aztech, Nanofilm). This dispersion highlights the alpha potential in stocks backed by firm orderbook visibility (**YZJ Ship**, **ST Eng**) and the ongoing AI-/semiconductor-upcycle (top pick: **UMS**).

Opportunities from 2Q/1H results season

Company	Price 26 Aug 2026	12-mth Target price	12-mth Target return	Mkt cap (SGDmn)	Rcmd	EPS growth 26 (%)	EPS growth 27 (%)	PE ratio 26 (x)	Div yield 26 (%)	Net debt/equity 26	P/BV 26 (x)
5 growth-at-reasonable-prices opportunities											
UOL	9.37	13.00	39%	7,940	BUY	-2.8	-1.1	18.0	1.9	0.2	0.7
SATS	4.07	5.00	23%	6,050	BUY	19.0	-	15.5	2.5	1.0	1.9
DFI Retail	3.55	5.00	41%	6,112	BUY	12.0	11.2	15.8	4.4	cash	13.5
Venture Corp	16.8	21.80	30%	4,829	BUY	8.5	6.5	19.7	4.8	cash	1.7
Singtel	4.51	5.46	21%	73,624	BUY	13.3	-	21.2	4.3	0.2	2.6
Preferred REITs in office, industrials											
Suntec REIT	1.51	1.70	13%	4,467	BUY	-	-	-	5.3	0.4	0.7
MLT	1.18	1.55	31%	6,041	BUY	-2.9	4.4	20.0	6.2	0.4	0.9
CLAR	2.45	3.20	31%	12,238	BUY	-	-	-	6.2	0.4	1.1

Source: DBS, Bloomberg. Based on 26 August closing prices

DBS Group Research recommendations are based on an Absolute Total Return* Rating system, defined as follows:
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BUY (>15% total return over the next 12 months for small caps, >10% for large caps)
HOLD (-10% to +15% total return over the next 12 months for small caps, -10% to +10% for large caps)
FULLY VALUED (negative total return, i.e., > -10% over the next 12 months)
SELL (negative total return of > -20% over the next 3 months, with identifiable share price catalysts within this time frame)

**Share price appreciation + dividends*

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